

Bitcoin Market Sentiment & Trading Performance

An Analytical Report on Fear & Greed Regimes and Trade Outcomes

BY

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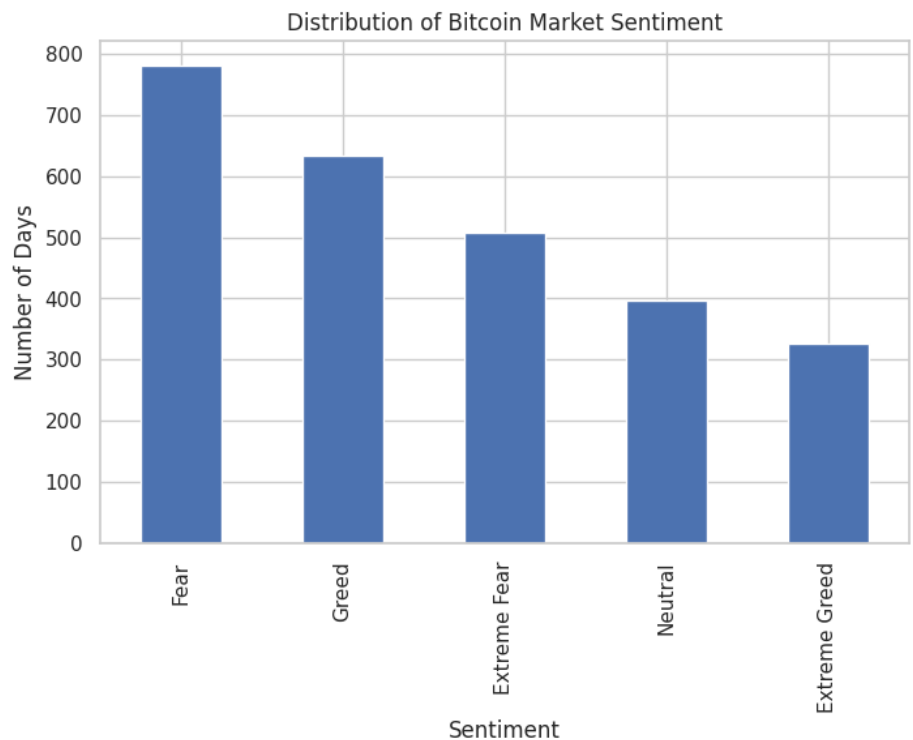
Executive Summary

This report analyzes trading activity against the Crypto Fear & Greed Index to understand how market sentiment relates to trading volume, profitability, win rates, and asset/coin selection. Fourteen charts are examined in sequence, each paired with an interpretation of what it shows, why it matters, and a concrete, actionable takeaway.

Four themes recur throughout the analysis:

- Volume and profitability move in opposite directions — the trader is most active during Fear, but earns the highest per-trade returns during Greed.
- A strong, outlier-resistant contrarian edge exists: buying during Fear and selling during Greed both outperform their opposite, at both the mean and median level.
- Tail risk is highly concentrated — a handful of extreme trades (including a single ~-\$115,000 loss) dominate the raw P&L picture, while typical trades are far more modest.
- Trading volume is concentrated in two assets, HYPE and BTC, meaning overall results are primarily a function of these two coins' performance.

1. Distribution of Bitcoin Market Sentiment (Days by Classification)

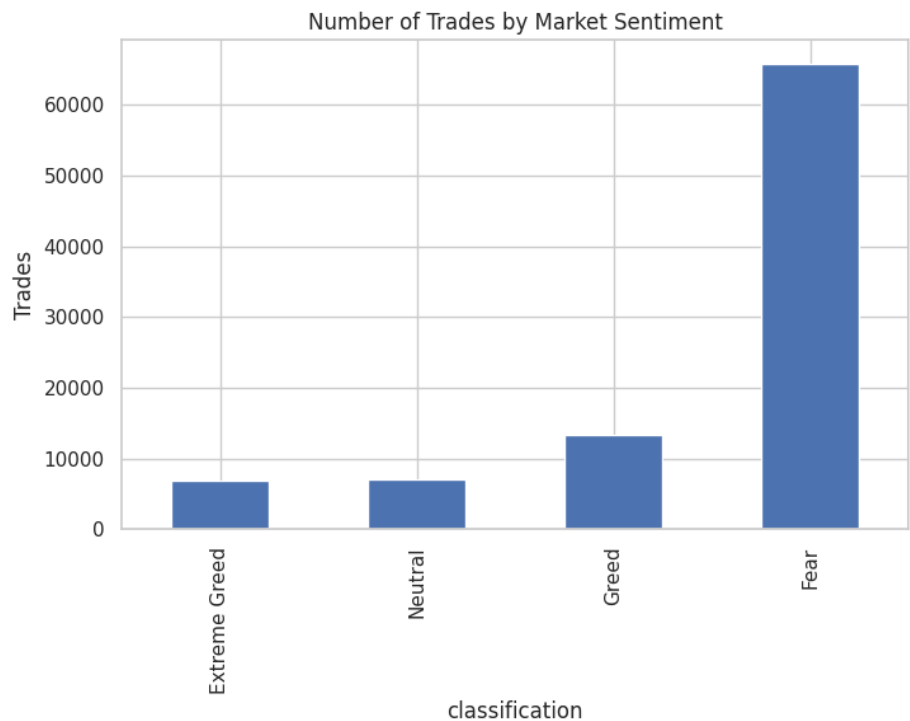


Over the sample period, “Fear” (780 days) and “Greed” (635 days) are the two most common Fear & Greed Index states, followed by “Extreme Fear,” “Neutral,” and “Extreme Greed” (325 days, the rarest).

This matters because it establishes the baseline “regime mix” of the market — crypto has historically spent more time in cautious or fearful states than euphoric ones.

Actionable insight: any sentiment-conditioned strategy should be backtested with the awareness that Fear-based signals will fire far more often than Extreme Greed signals, so position-sizing rules should not assume equal exposure time across regimes.

2. Number of Trades by Market Sentiment

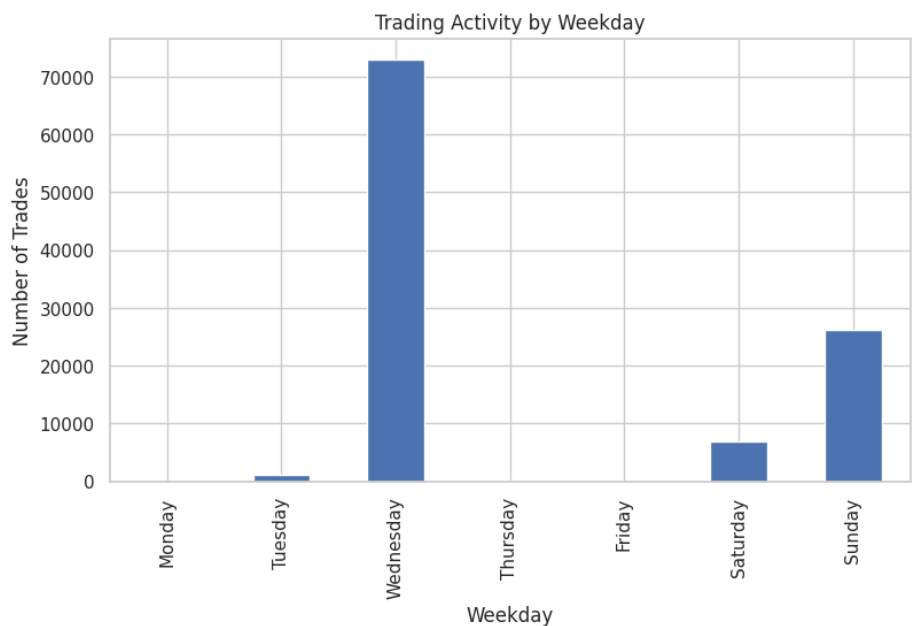


This trader's activity is heavily concentrated in “Fear” (66,000 trades) — nearly five times the volume of “Greed” (13,500) and far more than “Neutral” or “Extreme Greed” (7,000 each).

This is a much sharper skew than the underlying day-count distribution in Chart 1, meaning the trader isn't just present more often during Fear — they are far more active per fearful day.

Actionable insight: since the overwhelming majority of trade volume (and therefore risk) is generated during Fear regimes, risk controls, execution costs, and slippage monitoring should be prioritized for that regime specifically, rather than spread evenly across sentiment states.

3. Trading Activity by Weekday

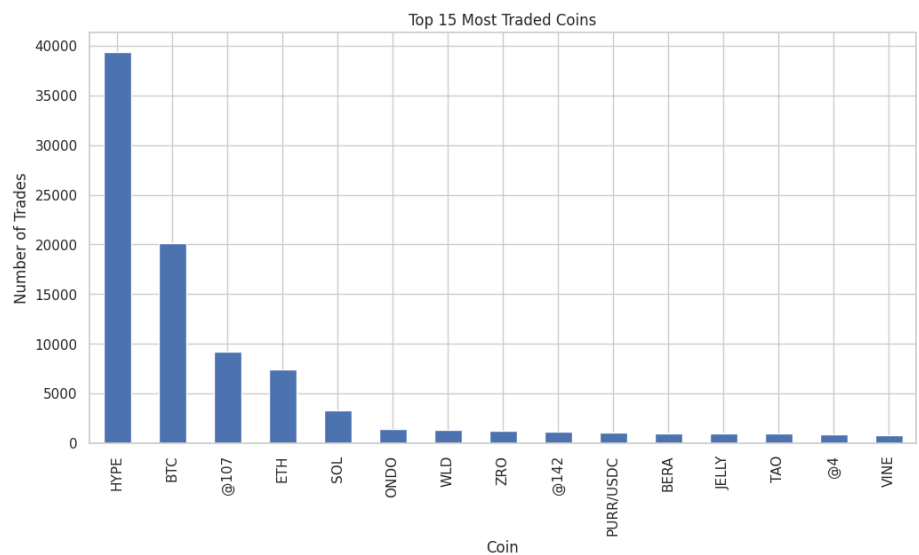


Trading is extremely concentrated on Wednesday (73,000 trades) and Sunday (26,000), while Monday, Thursday, and Friday show essentially zero activity.

This pattern is unusual enough to warrant investigation — it may reflect a specific trading schedule or bot logic, or a data/timezone artifact in how trades were logged and aggregated.

Actionable insight: confirm whether this is a genuine behavioral pattern before relying on it; if genuine, liquidity and slippage assumptions should be built around the Wednesday/Sunday spikes rather than a typical weekly distribution.

4. Top 15 Most Traded Coins

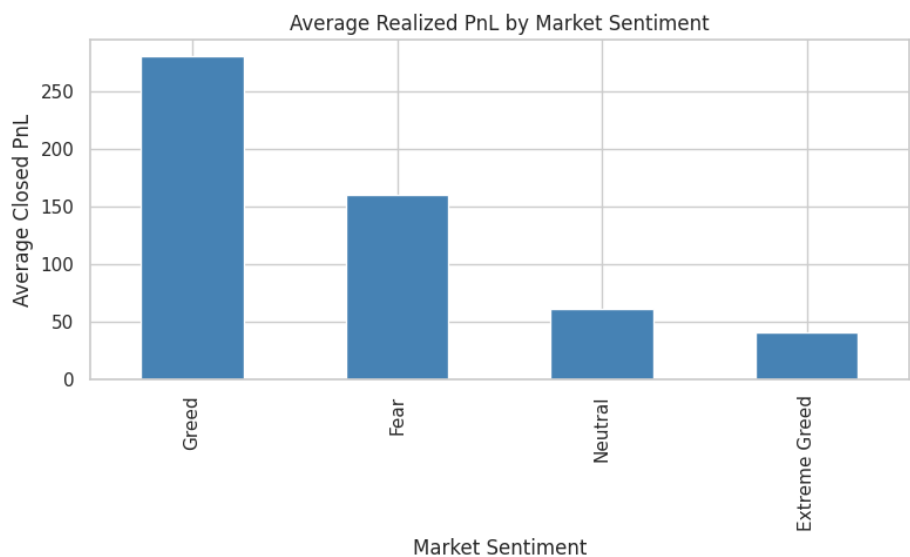


Trading volume is dominated by two assets — HYPE (39,000 trades) and BTC (20,000) — which together dwarf everything else, including ETH, SOL, and a long tail of smaller tickers (ONDO, WLD, ZRO, etc.), each under 1,500 trades.

This concentration means portfolio risk and P&L outcomes are primarily a function of how these two assets perform, not the broader coin list.

Actionable insight: analytical and risk-management effort should be weighted toward HYPE and BTC; the long tail of low-volume coins contributes little to aggregate results and may not justify equivalent scrutiny or capital allocation.

5. Average Realized PnL by Market Sentiment

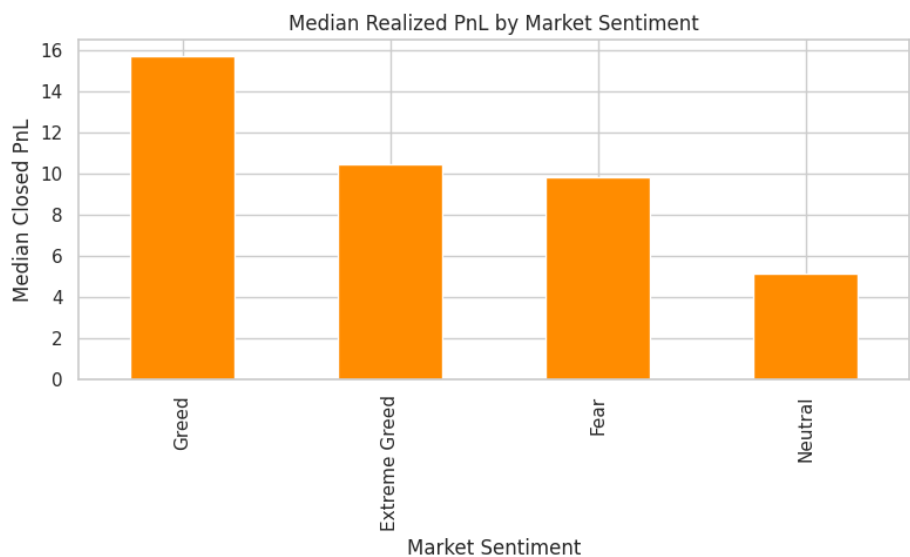


Average profit per trade is highest during “Greed” (\$280) and lowest during “Extreme Greed” (\$40), with “Fear” in between (\$160).

Notably, this ranking is nearly the inverse of trade volume (Chart 2) — the regime with the fewest trades (Greed) produces the highest average payoff, which increases the risk that this metric is skewed by a small number of outlier wins.

Actionable insight: treat this as a starting hypothesis, not a conclusion — cross-check against the median (Chart 6) before assuming Greed periods are reliably more lucrative on a per-trade basis.

6. Median Realized PnL by Market Sentiment

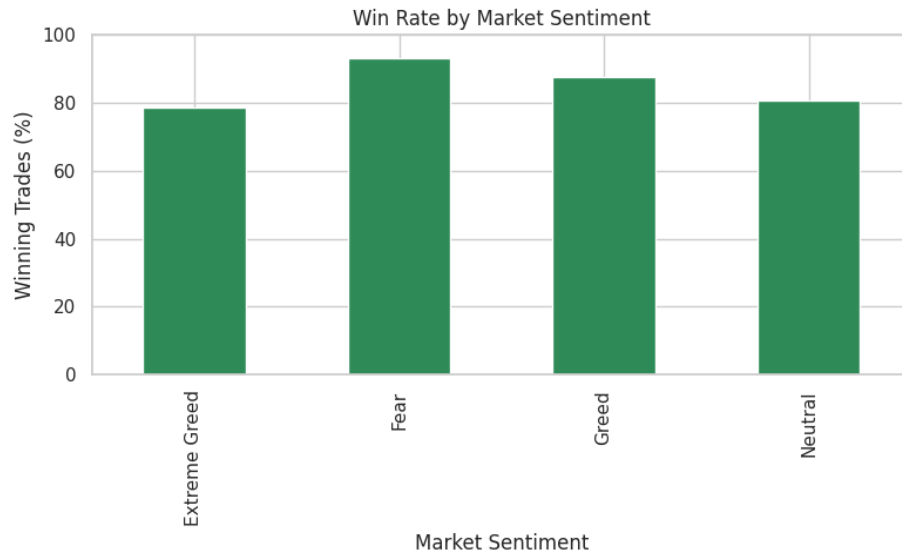


Using the median instead of the mean to control for outliers, “Greed” still leads (\$15.7), followed by “Extreme Greed” (\$10.4) and “Fear” (\$9.8), with “Neutral” lowest (\$5.1).

The fact that Greed remains on top even after removing outlier influence strengthens the conclusion from Chart 5 rather than contradicting it — this is a robust pattern, not an artifact of a few lucky trades.

Actionable insight: this supports increasing conviction or size on trades taken during Greed regimes, within reasonable risk limits, since the edge holds up under a more outlier-resistant measure.

7. Win Rate by Market Sentiment

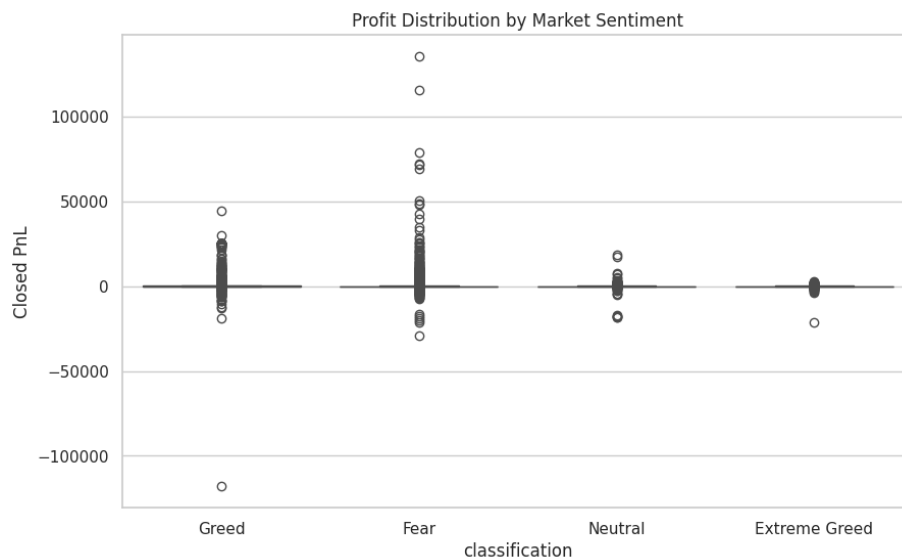


Win rate is highest during “Fear” (93%) and lowest during “Extreme Greed” (78%), which is the opposite ranking from the PnL-magnitude charts above.

This reveals a classic frequency-vs-magnitude trade-off: Fear trades win more often but for smaller amounts, while Greed trades win less often but for larger amounts.

Actionable insight: trade management should differ by regime — in Fear, a high win rate supports tighter stops and quicker profit-taking (many small wins), while in Greed, letting winners run may be more appropriate since fewer, larger wins drive the returns.

8. Profit Distribution by Market Sentiment (Full Range, With Outliers)

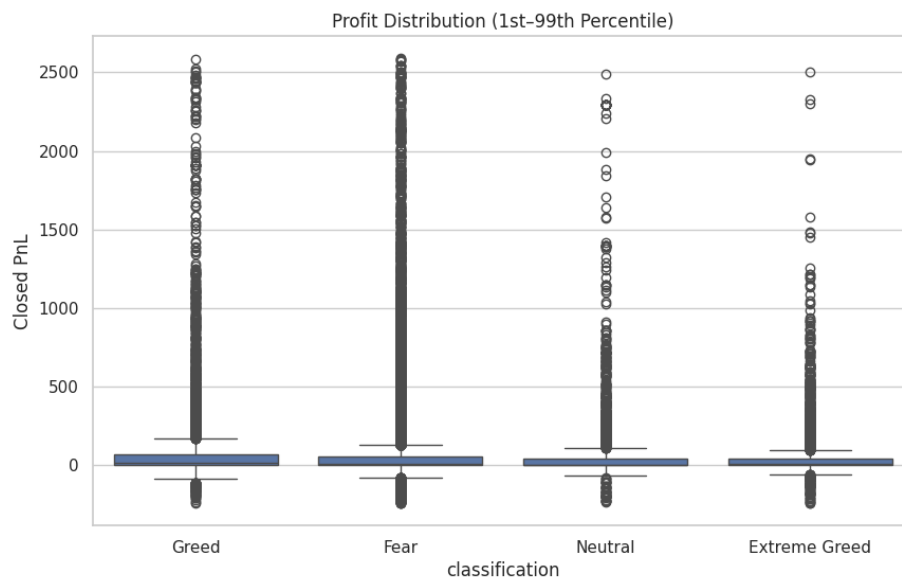


This boxplot reveals extreme tail events — a single trade in Greed lost over -\$115,000, while several Fear trades gained \$70,000–\$135,000.

These outliers dwarf the “typical” trade and explain why average PnL (Chart 5) diverges so sharply from median PnL (Chart 6).

Actionable insight: a small number of outsized trades are disproportionately shaping total account P&L; implementing maximum position-size caps or stop-loss discipline — especially around Fear/Greed regime shifts — could meaningfully reduce tail risk without giving up much of the median return profile.

9. Profit Distribution (1st–99th Percentile, Outliers Trimmed)

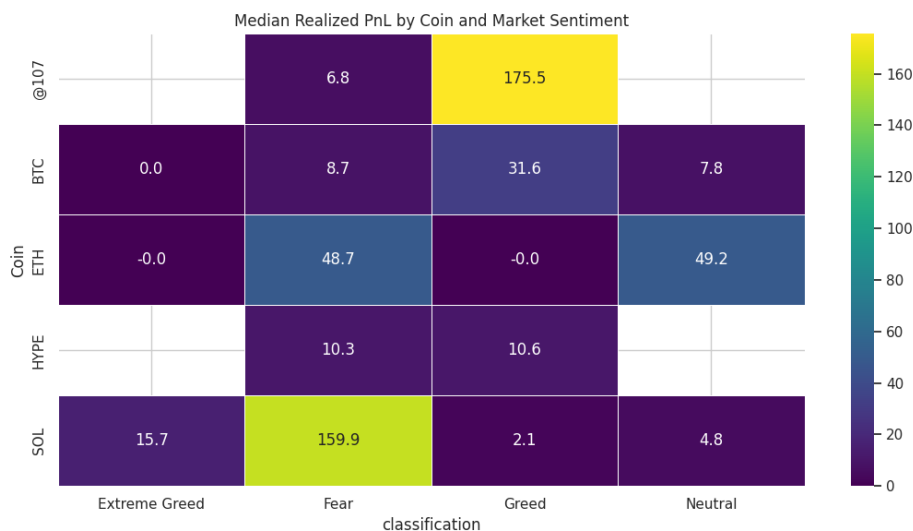


Once extreme outliers are excluded, the four sentiment regimes look far more similar, with most trades falling between roughly -\$250 and +\$500 and comparable quartile spreads.

This confirms that day-to-day trading results are fairly consistent across sentiment states, and the dramatic differences seen in Chart 8 are driven by rare events rather than the typical trade.

Actionable insight: for setting realistic per-trade expectations or sizing rules, this trimmed view is the more reliable reference; outlier trades should be modeled and risk-managed as a separate category from normal trading performance.

10. Median Realized PnL by Coin and Market Sentiment (Heatmap)

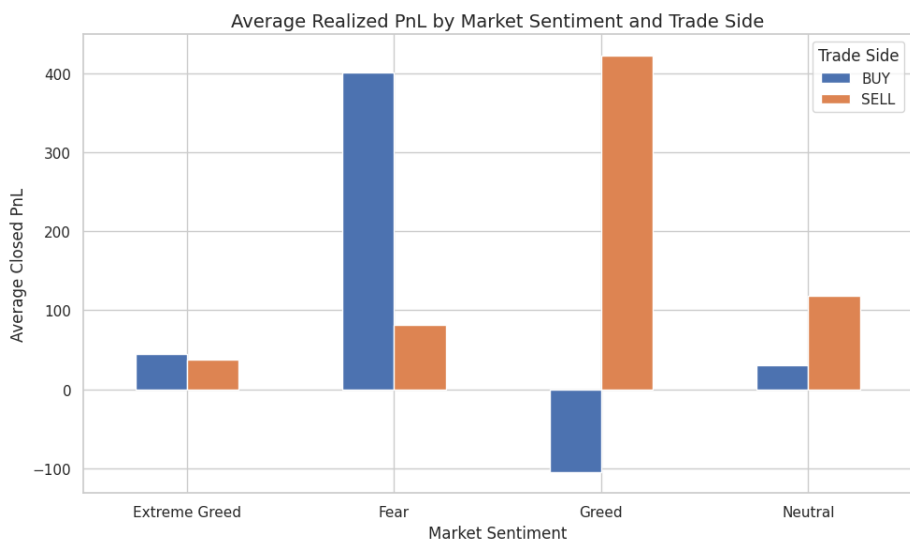


This heatmap surfaces specific coin–sentiment combinations that punch well above the average: @107 during “Greed” has a median PnL of \$175.5, and SOL during “Fear” reaches \$159.9 — both far higher than any other cell (most of which sit in the single digits to \$50 range).

Because these are median (not mean) figures, the pattern is less likely to be a one-off outlier and more likely a genuine, repeatable effect tied to that specific coin/regime pairing.

Actionable insight: these pairings (SOL in Fear, @107 in Greed) deserve deeper investigation into the underlying cause — e.g., illiquidity-driven price swings or timing — since they represent a potential edge that could be deliberately weighted rather than left to chance.

11. Average Realized PnL by Market Sentiment and Trade Side (Buy vs. Sell)



During “Fear,” buying is far more profitable on average (\$400) than selling (\$80); during “Greed,” the relationship flips sharply — selling averages \$420 while buying actually loses money on average (-\$100). This is a strong contrarian pattern: buying dips during fear and selling into euphoria during greed both pay off, while doing the opposite (buying into greed) is a losing proposition on average.

Actionable insight: this is a clear, data-backed case for a contrarian execution rule — bias toward buying during Fear regimes and selling during Greed regimes, and treat “buying during Greed” as a flagged, higher-risk action warranting extra scrutiny.

12. Median Realized PnL by Market Sentiment and Trade Side

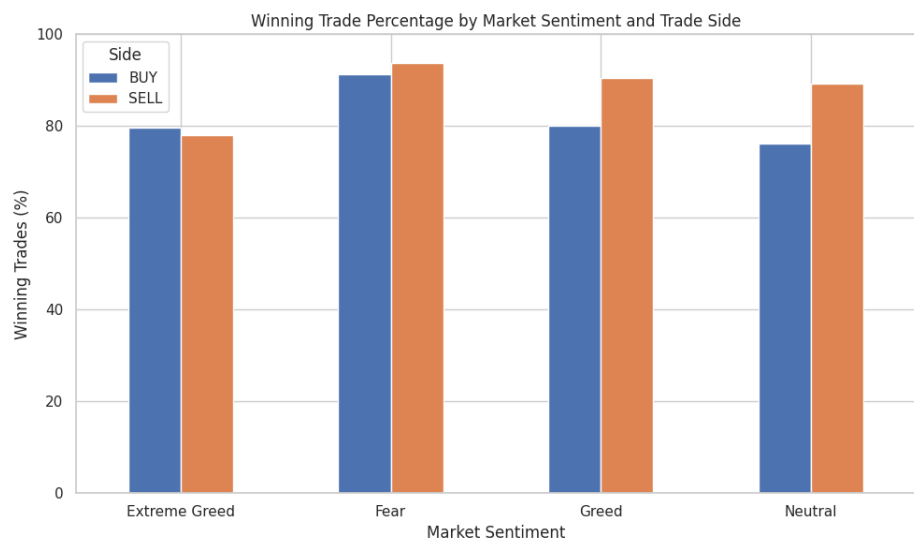


The same directional pattern holds at the median: Fear/Buy has the highest median (\$25) versus Fear/Sell (\$7), and Greed/Sell (\$21) clearly beats Greed/Buy (\$5.7).

Because this holds even after removing outlier influence, it confirms the contrarian buy-fear/sell-greed pattern from Chart 11 is not just being driven by a few extreme trades.

Actionable insight: this reinforces confidence that “buy the fear, sell the greed” is a real, statistically robust edge in this trading history — it can be used as a rule-of-thumb bias in trade-side decisions.

13. Winning Trade Percentage by Market Sentiment and Trade Side

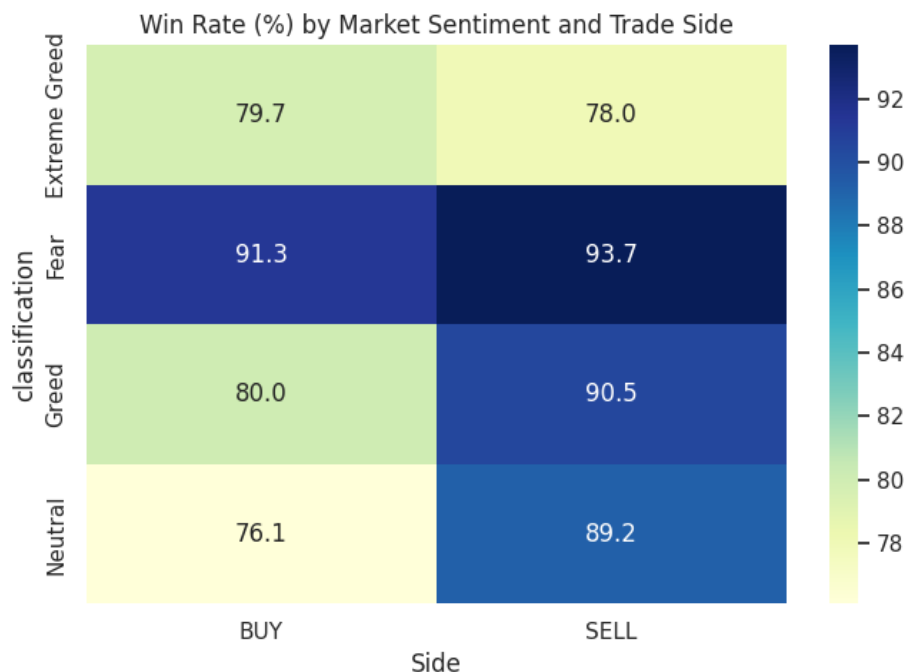


Win rates for both Buy and Sell trades peak during “Fear” (91–94%) and dip lowest for Buy during “Neutral” (76%) and Sell during “Extreme Greed” (78%); Sell trades slightly out-win Buy trades in almost every regime.

This shows that regime and trade direction both independently affect reliability, with Fear being the most forgiving environment for trades of either direction.

Actionable insight: Neutral and Extreme Greed periods warrant tighter risk controls (smaller size, tighter stops) given their comparatively lower win rates, while Fear-regime trades of either direction can be treated as higher-confidence setups.

14. Win Rate (%) by Market Sentiment and Trade Side (Heatmap)



This heatmap makes the best and worst combinations easy to spot at a glance: Fear/Sell is the strongest combination at a 93.7% win rate, while Neutral/Buy is the weakest at 76.1%.

Having this matrix as a quick reference consolidates the finding from Chart 13 into a single, actionable lookup table.

Actionable insight: use this grid as a live “regime + side” checklist before entering a trade — favor Fear/Sell and Fear/Buy setups (both above 90%) and apply extra caution or reduced size on Neutral/Buy and Extreme Greed/Sell setups, which sit at the bottom of the reliability ranking.

Summary of Cross-Cutting Themes

Volume ≠ profitability: The trader is most active during Fear (Chart 2) but earns the highest per-trade returns during Greed (Charts 5–6) — activity and edge are not aligned, which may itself be an opportunity to reallocate trading effort.

Contrarian edge is real: Buying during Fear and selling during Greed both outperform their opposite (Charts 11–12), and this holds up at both the mean and median level, indicating a genuine and repeatable pattern rather than noise.

Tail risk is concentrated: A handful of extreme trades (Chart 8) — both windfalls and a single ~-\$115,000 loss — dominate the raw PnL picture; typical trades (Chart 9) are far more modest and consistent.

Concentration risk: Two assets (HYPE, BTC) account for the large majority of trading volume (Chart 4), meaning overall results are primarily a bet on these two coins' performance.

Data quality flag: The extreme weekday concentration (Chart 3) should be verified before being used to inform strategy, as it may reflect a data or scheduling artifact rather than a true trading pattern.